WS Global CIO Office
4 September 2026

Weekly Market View

Rising risk of a Fed rate hike

→ Fed Chair Warsh has raised the chance of a rate hike this year, potentially as early as this month if August payrolls remain resilient and if there is no clear sign of disinflation.

→ However, we see little scope for multiple hikes, given our view that disinflation is likely to continue into next year as the impact of tariffs and high oil prices fades.

→ Thus, any such 'defensive' rate hike is likely to be neutral for equity and bond markets, which are already partly anticipating one.

→ We would adopt a 'buy on dips' strategy for equities on any seasonal or pre-election volatility spike amid a robust earnings outlook.

→ In bonds, we gradually extend the maturity profile to 3-7 years, preferring corporate credit, as yields in this segment have risen to attractive levels. In FX, AUD is our preferred currency amid rising global rates as markets underestimate the scope of further RBA rate hikes.

Is it time to take profit in Taiwan equities?

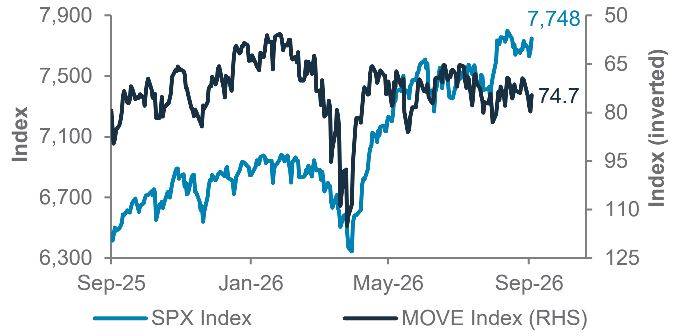
Do you expect the US 30-year bond yield to break above its 20-year high of 5.4%?

Which currencies stand to benefit the most from hawkish central banks?

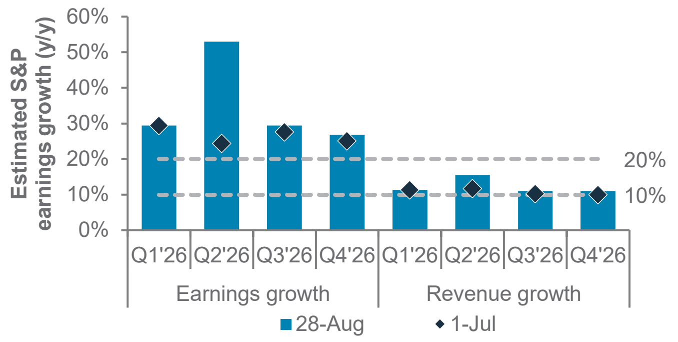
Charts of the week: Contained bond volatility, robust earnings

As long as US bond market volatility remains contained, the equity rally is likely to continue amid robust earnings growth

S&P500 index, US bond market volatility (inverted)



Consensus estimates for S&P500 earnings and revenue growth



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered

Editorial

Rising risk of a Fed rate hike

Strategy summary: Fed Chair Warsh has raised the chance of a rate hike this year, potentially as early as this month if August payrolls remain resilient and if there is no clear sign of disinflation. However, we see little scope for multiple hikes, given our view that disinflation is likely to continue into next year as the impact of tariffs and high oil prices fade. Thus, any such 'defensive' rate hike is likely to be neutral for equity and bond markets which are already partly anticipating one.

We would adopt a 'buy on dips' strategy for equities on any seasonal or pre-election volatility spike amid a robust earnings outlook. In bonds, we gradually extend the maturity profile to 3-7 years as yields in this segment have risen to attractive levels.

Setting the stage for a Fed hike: At Jackson Hole, Fed Chair Warsh opened the door to a potential rate hike, noting that rates are not restrictive, employment remains near full and underlying inflation is still elevated. We see just over 50% chance of a rate hike, potentially on 16 September, if key US data before then are supportive – specifically, if August payrolls are positive, unemployment stays near 4.1% and core inflation is at least 0.2% m/m. If these conditions are met, not hiking could trigger another long-end bond selloff and undermine Warsh's credibility. Meanwhile, a rate hike under these conditions is likely to have limited market impact, as money markets are already pricing over 50% chance of September hike.

Alternative scenario: Conversely, another month of negative payrolls in August or core inflation cooling below 0.2% m/m would allow neutral-to-dovish Fed members to push back against a rate hike this month. In that case, December would be the next stop for reassessment; a rate hike in October, weeks before the November mid-term elections, is unlikely.

Little scope for multiple hikes: Even if the Fed delivers a 'defensive' hike this year, we see little scope for further increases as US inflation should ease towards the 2% target next year when tariff and oil-price effects fade. New York Fed President Williams and Governor Waller's refusal to pre-commit to a September or a future hike underscores the disinflationary outlook. Also, multiple rate rises could prove counterproductive by lifting already record US government borrowing costs as the Treasury continues to shorten maturities of its bond issues.

Gradually extend maturity in bonds: The latest rise in short-to-medium term bond yields is thus an opportunity to gradually extend maturities in bonds, given our outlook for disinflation and limited upside for policy rates. We extend our preferred maturity bucket to 3-7 years from 3-5 years. We continue to prefer corporate bonds, where we are comfortable in going down to BB-rated USD-denominated credit, which offer 6.5-7.5% yield.

Buying any September dip in equities. Rising bond yields, seasonal weakness in September and pre-midterm election blues are potential near-term headwinds for equities. However, equities have historically held up well despite higher bond yields as long as bond volatility is contained and growth resilient.

In fact, history suggests taking advantage of any weakness in September to build long-term exposure as underlying earnings growth prospects remain solid (20%-plus S&P500 EPS growth expected in Q3 and Q4). For instance, over the past 15 years, buying the S&P 500 index at its September low has generated an average return of 11.4% over the subsequent six months. If we focus only on years when September ended in negative territory, the average six-month return rises to 15.1%.

ECB to hike again next week. While a Fed rate hike remains a toss-up, the ECB is highly likely to hike 25bps to 2.5% next week. Euro area Q2 GDP expanded an above-trend 0.4% q/q, as the region weathered the energy shock better than feared. The momentum has carried into Q3. August headline inflation climbed to a near-three-year-high of 3.3% y/y on energy prices, although core inflation eased to 2.4% as second-round effects remain absent. With no progress seen in resolving the Middle East conflict, the case for ECB taking further pre-emptive action has risen. We remain focused on whether President Lagarde pushes back against market expectations of further rate hikes.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: Robust US services PMI, easing Euro area core consumer inflation, China's ongoing plan to boost consumption

(-) factors: Cooling US job market, hawkish Fed, geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US ISM services PMI rose unexpectedly to 55.4 in August, with rising new orders • Euro area economic confidence rose more than expected to 98.4 in August • Euro area core consumer inflation eased to 2.4% y/y in August, while headline inflation rose to an almost three-year high of 3.3% y/y	• US ISM mfg. PMI fell more than expected, with falling key sub-indices • US private payrolls rose by 38,000 in August, while US JOLTS job openings slipped to 7.27mn in July, both below estimates • Euro area headline producer price rose 5.8% y/y in July, above forecasts • China mfg. and non-mfg. PMIs remained in contractionary territory
	Our assessment: Neutral – Robust US services data vs. cooling US job market, slower US manufacturing activity	
Policy developments	• Reserve Bank of New Zealand raised its policy rate to 2.75%, but lowered its Q1 2027 rate projection marginally • Fed's Williams and Waller indicated willingness to keep rates on hold if disinflation continues	• Fed Chair Warsh struck a hawkish tone and warned on inflation at Jackson Hole • Bank of Canada kept rate unchanged at 2.25%, but adopted a hawkish tone • BOJ Governor Ueda signalled chance of September rate hike
	Our assessment: Negative – Hawkish Fed, BoC comments	
Other developments	• China outlined 20 specific measures across seven areas to expand and upgrade consumption through 2030	• US launched fresh airstrikes against Iran, after IRGC's attempted attacks • Germany planned measures to curb unfair Chinese trade practices. • US Treasury Secretary Bessent urged G20 members to reconsider trade policies with China
	Our assessment: Negative – Ongoing geopolitical tensions	

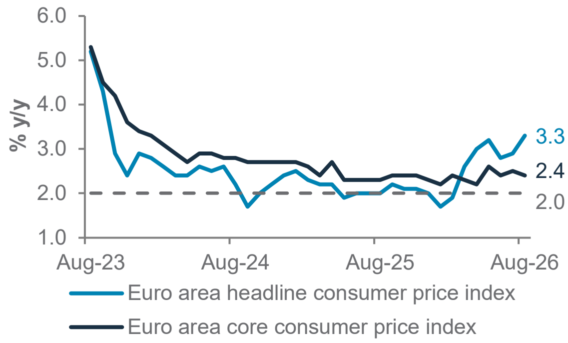
US ISM manufacturing new orders PMI missed market forecasts while the services new orders beat estimates

US ISM manufacturing and services new orders PMIs

Source: Bloomberg, Standard Chartered

We expect the ECB to hike next week after Euro area headline consumer inflation rose to 3.3% y/y, although core inflation came in below estimates

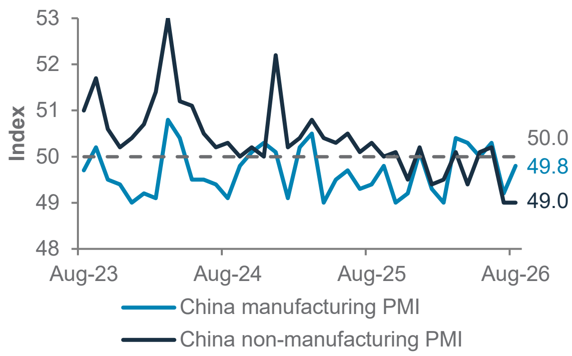
Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China's manufacturing and non-manufacturing PMIs remained in contraction territory in August

China manufacturing and non-manufacturing PMI



Source: Bloomberg, Standard Chartered

Top client questions

Following Fed Chair Warsh's debut keynote address at Jackson Hole, do you expect a Fed rate hike this month?

Our view: We have raised our probability of a September Fed rate hike following Fed Chair Warsh's Jackson Hole speech, as we believe the bar for keeping rates unchanged is now high.

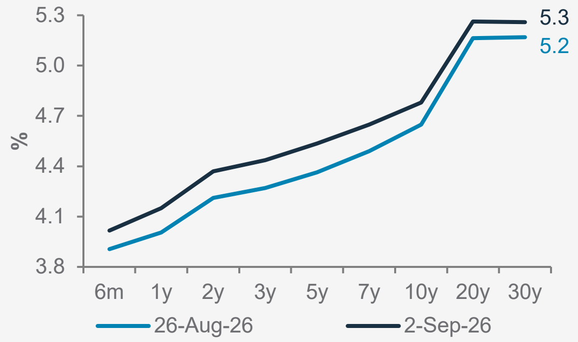
Rationale: The Fed's price-stability mandate will be put to the test at its 16 September meeting. Fed Chair Warsh is expected to demonstrate his **inflation-fighting resolve**, consistent with his Jackson Hole remarks that summer's encouraging inflation readings were insufficient to confirm a structural disinflationary trend, reaffirming the central bank's focus on delivering price stability. Warsh's comments lead us to believe that **the bar for leaving rates unchanged is now high**. A hold would likely require a major labour market deterioration and a materially softer inflation print in incoming data releases; in-line data would not be interpreted as dovish.

However, in our view, a rate hike would not mark the start of a sustained tightening cycle, as we expect **disinflationary pressures and labour market weakness to persist**. This view is also reflected in the US bond yield curve's reaction to Warsh's remarks. The curve **bear-flattened,** with short-term yields rising more than long-term yields. As yields in the sub-10-year segment have moved higher relative to those in other parts of the curve, we suggest corporate bond investors to take advantage of the move by extending duration from the 3-5-year bucket to the **3-7-year bucket**. We believe this segment is short enough to avoid the volatility and crowded positioning at the long end, yet long enough to benefit if the Fed remains on hold, given the short end of the curve is pricing in a hike.

— **Ray Heung**, *Senior Investment Strategist*

Long-end yields rose less than short-end post Fed Chair Warsh's Jackson Hole comments

US government bond yield curve (%)



Source: Bloomberg, Standard Chartered

Would the US 30-year government bond yield break above its 20-year high of 5.4%?

Our view: We believe the US 30-year government bond yield is unlikely to remain above 5.4% sustainably in the short term. However, we expect US long-end bond yields to stay elevated and the US 30-year bond yield to range between 5.25% and 5.50% over the next 12 months.

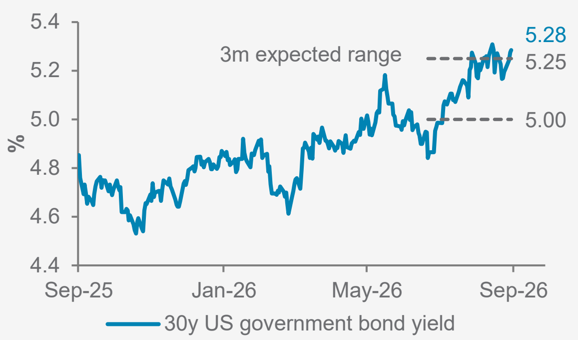
Rationale: In the near term, with the US Treasury's long-end bond buyback programme in place, we expect **temporary moves above 5.4%**, but these are unlikely to be sustained.

In the longer term, the effectiveness of the buyback programme is questionable given **structural headwinds** – a deteriorating US fiscal trajectory, waning foreign demand, AI-driven corporate supply and sticky inflation amplified by the Middle East conflict – which argue for **yields remaining elevated** even if the buyback programme limits the most acute spikes.

— **Ray Heung**, *Senior Investment Strategist*

We expect the US 30-year government bond yield to range between 5.00% and 5.25% over the next three months

US 30-year government bond yield



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Taiwan is one of the few tech-heavy equity markets that recovered the ground lost in July. Is it time to take profit or add?

Our view: We remain constructive on Taiwan and continue to view it as an attractive Opportunistic idea.

Rationale: The MSCI Taiwan Index rebounded by **4.5% in August** after declining **3.9% in July**, in TWD terms. Recent guidance from hyperscalers indicates that AI infrastructure spending remains resilient, with few signs of a slowdown. Taiwan remains a **key beneficiary of the AI infrastructure buildout** through its leadership in semiconductor manufacturing and the AI hardware ecosystem. Beyond foundries, many Taiwan companies are **critical suppliers** of printed circuit boards, liquid cooling and networking solutions, all of which benefit from rising AI hardware complexity and deployment.

Although investors have raised concerns around **circular financing**, we view this largely as **a reflection of AI's capital-intensive nature**, in which incumbent technology firms provide funding and strategic support to ecosystem partners to accelerate product development and capacity expansion. While MSCI Taiwan's price-to-earnings (P/E) ratio remains above its five-year average, **valuations** have moderated from June's peak following the recent correction. This is supported by a **stronger growth outlook** (2025-28E compound annual growth rate of 40.4% vs. 5.0% in 2021-25). As such, **we remain constructive on Taiwan** and its pivotal role in the global AI manufacturing ecosystem.

— **Ryan Goh,** *Investment Strategist*

MSCI Taiwan's valuations have moderated from the June peak

MSCI Taiwan Index 12-month forward P/E ratio

Source: Bloomberg, Standard Chartered

Amid rising commodity prices, do you see any opportunities within energy and commodity equities?

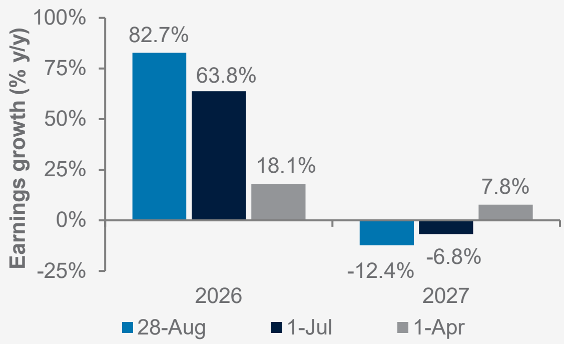
Our view: We favour maintaining energy and commodity sector allocations closer to long term strategic benchmark weights rather than taking a significant Overweight position.

Rationale: While there may be selective opportunities within the energy sector amid rising commodity prices, we favour **maintaining allocations closer to strategic benchmark weights rather than taking a significant Overweight position.** The binary nature of the near-term oil price outlook and any changes in geopolitical relations can create significant volatility. We also expect **oil prices to ease towards USD 70/bbl** over the next 12 months as transit conditions normalise, alongside a sizeable supply surplus expected in 2027. While investors should not ignore energy stocks from a portfolio construction perspective, we continue to **favour sectors where earnings visibility is stronger, such as technology and financials**. We also take a more selective approach within materials, with **gold reinstated to Overweight** as the price outlook has notably improved alongside a sharp pullback in the USD. We have raised our three- and 12-month gold price targets to **USD 4,750/oz** and **USD 5,000/oz**, respectively.

— **Cindy Lam, CFA**, *Senior Investment Strategist*

The S&P500 Energy Sector Index has seen substantial upgrades to 2026 earnings forecasts, creating a high base for 2027

Consensus earnings growth projections for the S&P500 Energy Sector Index as of April, July and August 2026



Source: LSEG I/B/E/S, Standard Chartered

Top client questions (cont'd)

Which currencies stand to benefit the most as more central banks adopt a hawkish stance?

Our view: The AUD appears best placed to benefit from further hawkish repricing, as additional RBA tightening remains only partly priced in. JPY upside risks have increased, but markets have already discounted substantial BoJ tightening, limiting the scope for a fresh policy surprise. The EUR retains some policy support, while NZD upside looks more limited following the RBNZ's less hawkish forward guidance.

Rationale: Currencies typically benefit most when central banks tighten more than markets expect. For Australia, Bloomberg pricing implies only around **12.7bps of additional RBA tightening**, leaving greater scope for AUD upside if inflation or activity data prompt a more hawkish RBA path.

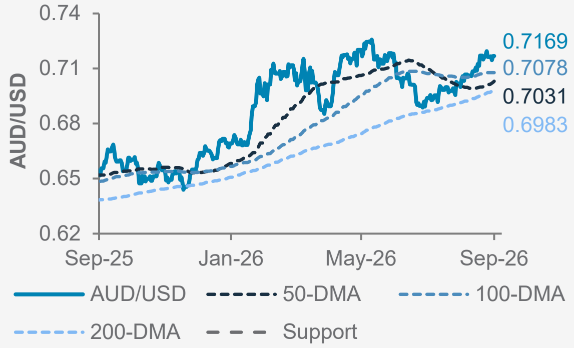
For the JPY, **recent hawkish repricing and official resistance to excessive weakness are supportive.** However, with substantial BoJ tightening already priced in, further sustained gains would require a faster or larger tightening path than currently discounted.

The **EUR** would similarly need stronger guidance on further tightening to extend gains, while **NZD** upside looks more limited after the RBNZ's projected rate path proved shallower than expected.

— **Iris Yuen**, *Investment Strategist*

AUD/USD upside risks remain

AUD/USD and technicals



Source: Bloomberg, Standard Chartered

How does the outcome of the recent G20 Finance Ministers and Central Bank Governors meeting affect your oil outlook?

Our View: The lack of a diplomatic breakthrough at the recent G20 meeting suggests geopolitical risk premia will persist. As geopolitics remains the dominant driver of crude oil prices, we expect West Texas Intermediate (WTI) oil to trade towards the upper end of our USD 70-90/bbl range in the near term.

Rationale: The recent G20 finance track produced no movement towards conflict de-escalation in the Middle East. Instead, the emphasis shifted towards **tighter financial and economic pressure on Iran**. While this reduces the risk of an extended military campaign, it points to a more **prolonged period of supply uncertainty**.

Market estimates put total **Gulf flows near 9.5 mb/d** – around 50% of the pre-conflict norm – supported by alternative routing and reported **'dark transits'**, which are helping offset some supply disruptions. However, declining inventory buffers should keep WTI supported around **USD 90/bbl.** Given China is a key buyer of Iranian crude, the **Trump-Xi summit** later this month is the next major event to watch, as any shift in China's stance towards US pressure on Iran could materially affect export flows and oil prices.

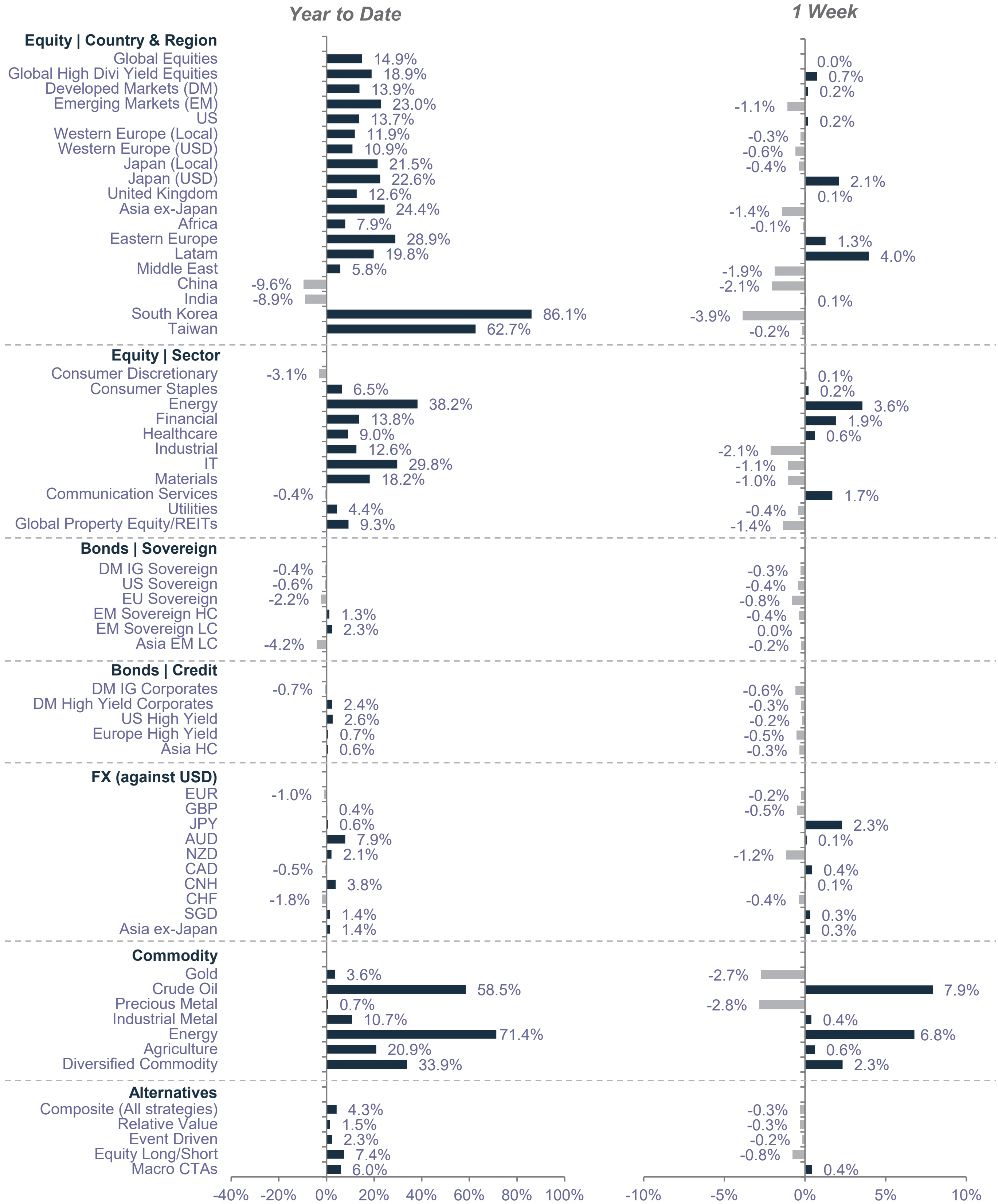
— **Anthony Naab, CFA**, *Investment Strategist*

WTI remains supported near the upper end of our USD 70-90/bbl forecast range

WTI price, forecast range

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 3 September 2026; 1-week period: 27 August 2026 to 3 September 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

		Market Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Sep	–	0.9
	CNH	Foreign Reserves	Aug	$3430b	$3419b
TUE	USD	NFIB Small Business Optimism	Aug	–	99.8
	CNH	Imports y/y	Aug	31.9%	27.5%
	CNH	Exports y/y	Aug	27.9%	23.9%
WED	CNH	PPI y/y	Aug	–	3.5%
	CNH	CPI y/y	Aug	0.9%	0.5%
THU	EUR	ECB Deposit Facility Rate	10-Sep	–	2.3%
	USD	Initial Jobless Claims	5-Sep	–	–
	USD	Continuing Claims	29-Aug	–	–
	USD	PPI Final Demand y/y	Aug	–	4.7%
	USD	PPI Ex Food and Energy y/y	Aug	–	4.2%
	USD	Existing Home Sales	Aug	3.99m	4.06m
FRI/SAT	USD	CPI y/y	Aug	3.4%	3.4%
	USD	Core CPI y/y	Aug	2.4%	2.5%
	USD	U. of Mich. Sentiment	Sep P	–	51.7

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,839

Technical indicators for key markets as of 3 Sep close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,748	7,634	7,839	19.5	1.1
STOXX 50	6,383	6,283	6,530	15.0	3.2
FTSE 100	10,832	10,691	10,966	12.9	3.4
TOPIX	4,102	3,945	4,239	16.1	2.3
Shanghai Comp	3,942	3,829	4,025	13.0	3.0
Hang Seng	25,213	24,752	25,931	10.5	3.5
Nifty 50	23,873	23,539	24,456	17.9	1.8
MSCI Asia ex-Japan	1,123	1,086	1,153	10.0	2.5
MSCI EM	1,703	1,649	1,745	9.8	2.8
Crude oil (WTI)	91.3	79.3	98.2	na	na
Gold	4,473	4,110	4,766	na	na
UST 10Y Yield	4.77	4.63	4.86	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 3 Sep close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	→	1.80
Global Equities	●	↑	1.73
Gold	●	↑	2.80
Equity			
MSCI US	●	↑	1.72
MSCI Europe	◐	↓	1.48
MSCI AC AXJ	●	↑	1.74
Fixed Income			
DM Corp Bond	●	→	1.74
DM High Yield	●	→	1.63
EM USD	●	→	2.03
EM Local	◐	↓	1.44
Asia USD	●	↑	2.03
Currencies			
EUR/USD	●	↑	2.05

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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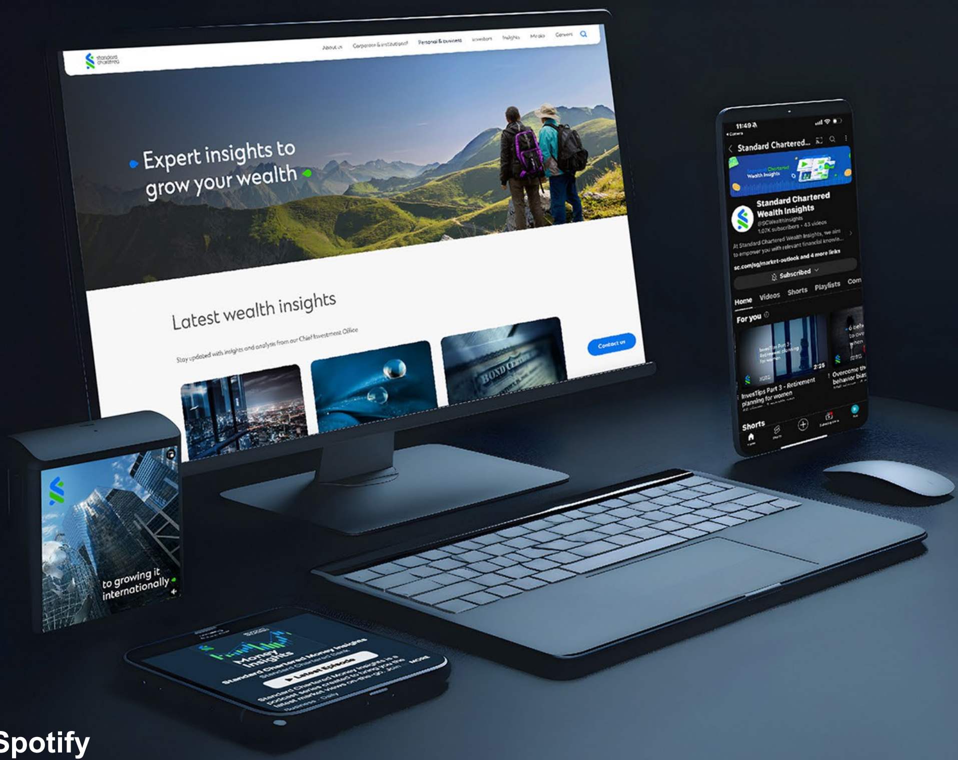

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WS Global CIO Office
21 August 2026

Weekly Market View

Watching Warsh at Jackson Hole

→ US bond markets have reached a pain threshold for the Trump team after the 30-year yield rose to its highest since 2007.

→ The US Treasury's surprise announcement to “at least” double its bond buybacks is an attempt to curb the rise, but is unlikely to drag yields significantly lower.

→ Will the Fed help cap yields? Chair Warsh's speech at Jackson Hole will be in focus. We prefer 3-5-year maturity bonds. As the Treasury seeks to contain bond yields, a softer USD is likely to serve as the pressure release valve, benefitting gold.

→ Beyond bonds, our confidence in the AI theme has been bolstered by another stellar earnings season and on-the-ground meetings with AI industry leaders in the US and Asia.

→ We have significantly revised up our AI capex estimates for this year and out to 2030. This is bullish for equities, especially US technology and communications services sectors.

Do you see the US 10-year government bond yield breaking above 5%?

How has your Global High Dividend Yield equities opportunistic idea performed?

What is your outlook on GBP/USD after it reached a three-month high?

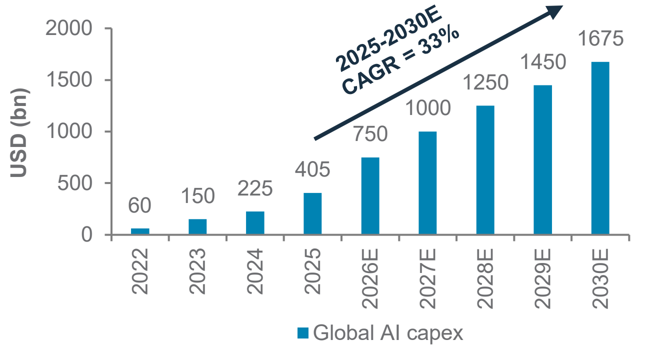
Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Financial repression – US style?

Gold gained and USD fell on US plans to curb bond yields; we're more confident on the AI capex story on soaring demand

USD index (DXY) and gold price

Expected global AI capital expenditure until 2030



Source: Bloomberg, Company reports, Standard Chartered

Editorial

Watching Warsh at Jackson Hole

Strategy summary: US bond markets have reached a pain threshold for the Trump team after the 30-year yield rose to its highest since 2007. The US Treasury's surprise announcement to "at least" double its bond buybacks, with Treasury Secretary Bessent pledging to buy more if needed, is an attempt to curb the rise, but is unlikely to drag yields significantly lower. Will the Fed help cap yields? Chair Warsh's speech at Jackson Hole will be in focus. We prefer 3-5-year maturity bonds. As the Treasury seeks to contain bond yields, a softer USD is likely to serve as the pressure release valve, benefitting gold.

Beyond bonds, our confidence in the AI theme has been bolstered by another stellar earnings season and on-the-ground meetings with AI industry leaders in the US and Asia. We have significantly revised up our AI capex estimates for this year and out to 2030. This is bullish for equities, especially US technology and communications services sectors.

Bond yields reach a pain threshold. The US Treasury's plan to "at least" double buybacks of 10-30-year bonds to USD 4bn suggests yields have reached a pain threshold for the Trump administration. However, the move is modest relative to the USD 30tn stock of marketable Treasuries, so it is unlikely to drive yields significantly lower. Primary drivers of higher yields are rising US debt and monetary policy uncertainty, after the Warsh-led Fed abandoned forward guidance on rates. A deluge of bond issuance from the AI hyperscalers has fuelled the fire.

Will Warsh ease the bond market pain? Fiscal uncertainty is unlikely to fade soon, with US national debt just crossing USD 40tn and set to rise further with increased defence spending. There is scope, though, for the Warsh-led Fed to ease some monetary policy uncertainty by clarifying its reaction function — specifically, how long it is willing to keep rates on hold to see inflation return to its 2% target. All eyes will be on Chair Warsh's Jackson Hole speech for a signal, if not forward guidance.

Incoming data should help Fed hold rates. The recent run of US macro data — softer payrolls, cooling inflation and a drop in retail sales — supports our long-held non-consensus view that inflation peaked in Q2, while long-term inflation expectations stay subdued. The US statistical agency is also revising how it measures PCE inflation for portfolio and wealth management, software and legal services; these end-September changes should retroactively lower core PCE inflation over the past five years. Gradual disinflation, as oil and tariff pressures fade, should bring core inflation towards 2% by 2027, enabling the Fed to hold rates this year before cutting in 2027. The challenge for Warsh is keeping bond markets patient until then.

Rangebound yields, softer USD, bullish gold. With the US Treasury seeking to cap yields even as debt rises, we expect long bond yields to be rangebound. We prefer 3-5-year maturity bonds, which should benefit from continued disinflation and a softening job market. The USD is likely to serve as the pressure release valve — an outcome the Treasury should welcome, given its earlier joint intervention with Japan to strengthen the JPY. A softer USD should sustain the ongoing gold rally, while rangebound rather than rising yields is generally positive for equity valuations.

Further raising our AI capex forecasts. Following on-the-ground meetings with AI industry leaders in the US this month, we expect AI capex to grow 85% y/y in 2026 to USD 750bn, reaching USD 1tn in 2027. We have also lifted our long-term assumption to a 33% CAGR over 2025-30, from 32%. These forecasts are consistent with our meetings in Taiwan and Korea last month. We also see upside to hyperscalers' cloud revenues amid strong token demand and robust backlog growth.

Stronger conviction on AI and US tech. With revised capex forecasts and greater confidence in AI monetisation, we reiterate our positive view on Big Tech and semiconductors within our Global Tech allocation. Accelerating cloud demand, rising token demand and backlogs and sustained management commitment reinforce our conviction that the AI investment cycle remains in its early stages, with no signs of a slowdown.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: US Treasury debt buybacks, US-Canada trade deal

(-) factors: Slowing US consumer sentiment, weak China activity data, hawkish Fed meeting minutes

	Positive for risk assets	Negative for risk assets
Macro data	• Euro area and Germany ZEW Survey expectations of economic growth beat estimates in July	• US University of Michigan consumer sentiment index fell more than expected • US core retail sales fell unexpectedly in July • China retail sales grew less than expected, with weaking industrial output
	Our assessment: Negative – Slowing US consumer sentiment, weak China activity data	
Policy developments	• US Treasury unexpectedly announced it will "at least" double the size of its debt buyback operations for longer-dated bonds	• July Fed meeting minutes revealed hawkish rate debate • RBA Deputy Governor Hauser warned further rate hikes may be needed if inflation fails to moderate
	Our assessment: Neutral – US Treasury debt buyback plan vs. hawkish Fed meeting minutes	
Other developments	• US President Trump said trade deal with Canada has been reached and has paused the 50% tariffs plan for 3 days	• Iran said the Strait of Hormuz will remain closed until US fulfils its commitments under the Memorandum of Understanding • President Trump said no ongoing dialogue with Iran to end the war, and no discussions scheduled • Trump announced new tariffs of up to 100% on imported drones and their parts • EU planned to expand sanctions against Russia
	Our assessment: Negative – Ongoing Middle East geopolitical tensions	

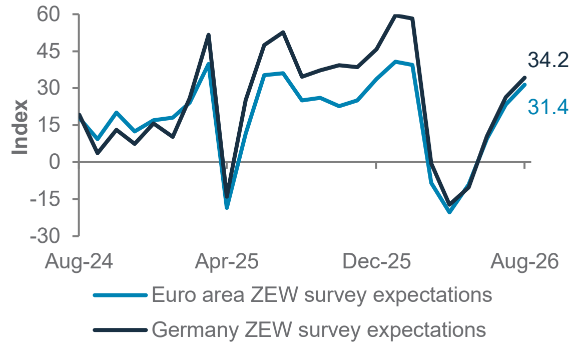
US retail sales contracted sharply m/m in July, while consumer sentiment declined in August

US Michigan consumer sentiment and retail sales control group (core retail sales)

Source: Bloomberg, Standard Chartered

Euro area and German expectations for economic growth exceeded expectations, marking the third consecutive month of improvement

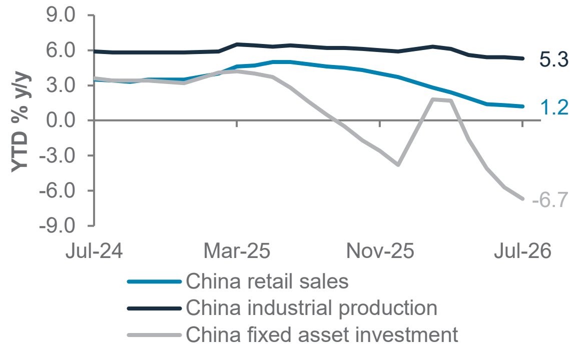
Euro area and Germany ZEW survey expectations



Source: Bloomberg, Standard Chartered

China's economic data for July showed broad-based domestic weakness

China retail sales, industrial production and fixed asset investment growth



Source: Bloomberg, Standard Chartered

Top client questions

Do you see the US 10-year government bond yield breaking above 5%?

Our view: We believe a decisive break above 5% on the 10-year US government bond yield is unlikely. We expect yields to consolidate within the 4.50-4.75% range, treating any surge above the upper bound as an opportunity to add. For now, we prefer patience over reaching for long-dated bonds.

Rationale: With the 10-year US government bond yield at c.4.65%, some 35bps separate the market from the 5% threshold – a modest gap, given the recent move's velocity. The stress is concentrated at the tail, where the **30-year US bond yield breached 5.30% briefly** (a near-20-year high) before retracing on the US Treasury's expanded buyback plan. **Medium-term yields have risen far less than very long-term ones**, suggesting investors are demanding a **higher term premium** – ie, extra compensation for holding very long-dated bonds – rather than pricing in a change to the Fed's policy path, which typically moves the shorter end of the yield curve.

We believe three factors are compounding this: Middle East conflict-driven **oil above USD 90/bbl** is rebuilding the inflation risk premium; **AI-fuelled corporate issuance** is competing for the same pool of long-duration capital; and **waning foreign demand** is eroding price-insensitive bids for government bonds. **Softer US macro data** is the sole counterweight but alone has failed to rally the long end. The Treasury's bond buyback plan signals a willingness to actively manage disorderly long-end yield moves ('Bessent put'). However, the bid looks more like a cushion for volatility spikes than a catalyst.

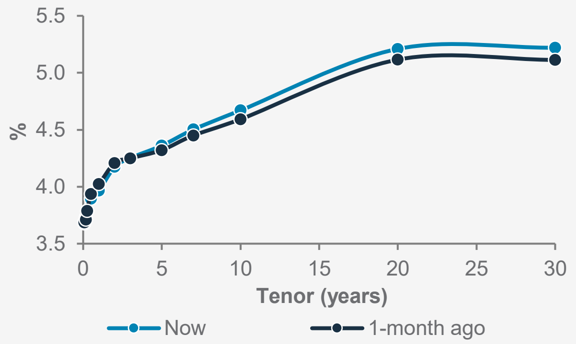
The **July Fed minutes** suggest that, given elevated inflation and the risk of upside surprises, policymakers are weighing the case for further hikes, though most participants prefer to **await more data** before moving. Set against that, data releases since the meeting have softened: **wage growth has been slowing**, **July retail sales fell** for the first time in nine months and **housing starts declined** as mortgage rates (closely tied to long-end yields) weigh on the property sector. Together, these should keep the **Fed on hold through year-end**. With the Fed funds rate anchored, the front end should exert a gravitational pull against a disorderly repricing further out the curve.

Absent upside inflation surprises, we expect the 10-year yield to consolidate within **4.50-4.75%**. Overshoots above 5% are likely to be temporary. We would treat any move above 4.75% as an opportunity to add. For now, we **prefer patience to reaching for long-dated bonds.** Headline risk and issuance overhang at the long end argue against extending duration at current levels. With rate volatility concentrated at the tail, we see a compelling case for floating-rate and shorter-duration alternatives as portfolio diversifiers, with our opportunistic idea on AAA CLOs being a good example. Investors should weigh the benefits against geopolitical risk, wider spreads in areas such as mortgage-backed securities and deteriorating covenant protections in parts of the leveraged credit market**.**

— **Cedric Lam**, *Senior Investment Strategist*

Long-end yields have risen more than the rest of the US bond yield curve over the past month

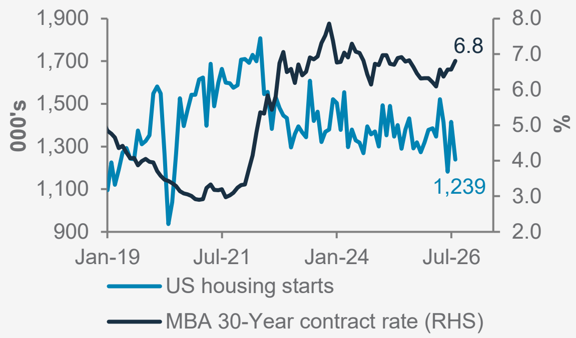
US government bond yield curve (%)



Source: Bloomberg, Standard Chartered

High mortgage rates are weighing on the US property sector

US housing starts, Mortgage Bankers Association (MBA) 30-year contract rate



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What does China's latest Q2 earnings season tell us?

Our view: China's Q2 earnings season has fared well, with modest upgrades to full-year 2026 earnings growth forecasts. We remain Overweight China equities, given policy support, AI localisation tailwinds and undemanding valuations.

Rationale: China's Q2 earnings season has fared well, with full-year 2026 earnings growth forecasts now upgraded to 12.5% y/y. However, **the upside is not broad-based. AI infrastructure**, **pharmaceuticals** and **energy** are delivering strong results, while **autos** are also beating forecasts by compensating for sluggish domestic demand with robust exports. In contrast, **consumer-facing businesses** – such as food and beverage, apparel and property – continue to struggle under the weight of **soft domestic demand** and **weak household consumption**. **Internet names** are betting on cloud as the main source of upside, as hefty AI investments pressure cash flows and margins in Q2.

We remain **Overweight China equities** within Asia ex-Japan on **policy support** and **AI localisation tailwinds**, including the national AI fund, over CNY 35trn of 'Six Networks' infrastructure spend concentrated in the 15th Five-year Plan, over 80% domestic-hardware mandates, the anti-involution campaign and equity-market revitalisation efforts, all of which point to a **positive outlook**. **Valuations also appear undemanding** relative to the tech innovation and AI opportunity, with the **12-month forward price-to-earnings (P/E) ratio** trading at 11x vs. a 12x five-year average.

— **Cindy Lam, CFA,** *Senior Investment Strategist*

China's 2026 earnings growth forecasts have seen steady upgrades since June

2026 and 2027 consensus earnings growth projections for MSCI China

Source: FactSet, Standard Chartered

How has your Global High Dividend equity opportunistic idea performed since launch? Is it likely to be resilient across different market environments?

Our view: Our Global High Dividend idea has returned 6.9% since inception on 18 June 2026, outperforming the MSCI All Country World Index (ACWI) by 532bps in USD terms through 20 August. Bloomberg data shows a forward dividend yield of 4.9% vs. 1.9% for ACWI, along with lower volatility.

Rationale: To assess resilience across market environments, Bloomberg data since 2015 shows the Global High Dividend Index's **median drawdown** was 9.0% vs. 10.9% for ACWI. Resilience was clearest in 2022, when inflation and rising rates pressured growth stocks: volatility was 16.3% vs. 19.4%, maximum drawdown was 22.2% vs. 26.4% and returns were -7.0% vs. -18.4%. Conversely, during the 2020 COVID-19 pandemic shock, both volatility and maximum drawdown were higher than for ACWI. Overall, the record supports the idea's role as a **higher-income equity allocation with modest downside cushioning** on balance, rather than an all-weather defensive strategy.

— **Robin Xie, CFA**, *Senior Investment Strategist*

Global High Dividend Index has exhibited lower volatility than ACWI, especially in recent years

12-month rolling volatility of the Global High Dividend Index and MSCI ACWI

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Does the Swiss franc's (CHF's) recent strength suggest a shift in safe haven flows from the USD to the CHF? Do you see any overspill to gold?

Our view: CHF strength reflects both increased safe haven demand and broad USD weakness. Gold is also benefiting from these factors.

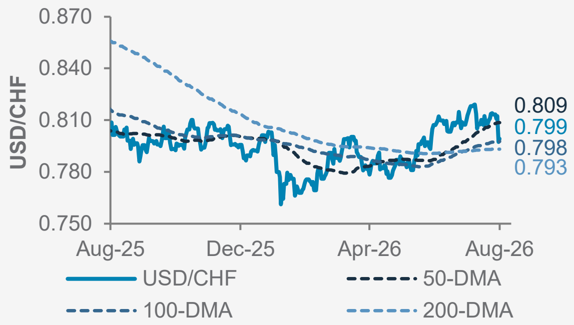
Rationale: The US Treasury's bond buyback announcement has lowered US government bond yields and weakened the USD. US **fiscal and bond-market outlook concerns support demand for the CHF and gold**. However, this does not imply a complete shift in safe-haven flows from the USD to the CHF. Instead, this suggests that **broad USD repricing remains an important driver**. Moreover, the **buybacks are small** relative to the c.USD 30trn government bond market and are primarily intended to improve market liquidity.

Our **USD/CHF forecast of 0.78** is supported by softer US inflation and labour market data, which has reduced further Fed tightening expectations. The CHF also benefits from Switzerland's current-account surplus, low government debt, policy stability and safe-haven status. However, **low Swiss inflation**, **the SNB's 0% policy rate** and **possible intervention** suggest the move is unlikely to be one-way. Gold's break above USD 4,400/oz strengthens its technical outlook. We remain **constructive on gold**, targeting USD 4,900/oz, although the rapid rally increases **near-term profit-taking risk**.

— **Iris Yuen**, *Investment Strategist*

USD/CHF faces further downside risk as the USD reprices

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

What is your outlook on GBP/USD after it reached a three-month high recently?

Our view: A restrictive BoE stance and continued USD weakness are expected to support the GBP in the near term. However, the move above 1.36 appears stretched. Investors with long GBP positions can consider partly locking in gains while retaining some exposure should USD weakness extend.

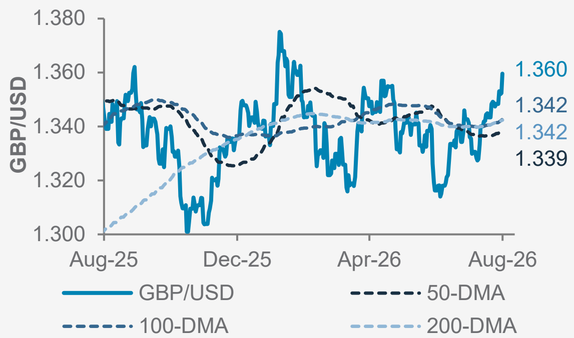
Rationale: GBP/USD's rise to a three-month high has been driven mainly by **broad USD weakness**, recently reinforced by the US Treasury's **expanded bond buybacks** and **lower long-dated US government bond yields**, rather than a stronger UK outlook.

Domestic support for the GBP is less convincing. The **UK unemployment rate** has risen to 4.9%, **job vacancies** have fallen to their lowest since 2021 and **private-sector wage** growth has slowed to 2.8% y/y, its weakest since 2020. Meanwhile, UK **headline inflation** rose from 2.6% y/y to 2.9% y/y in July, largely due to higher household energy costs. This leaves the BoE facing **weaker growth** and **externally driven inflation**. GBP/USD is likely to remain supported if USD weakness continues, but its rapid rise above 1.36 raises the risk of near-term consolidation towards 1.35.

— **Iris Yuen**, *Investment Strategist*

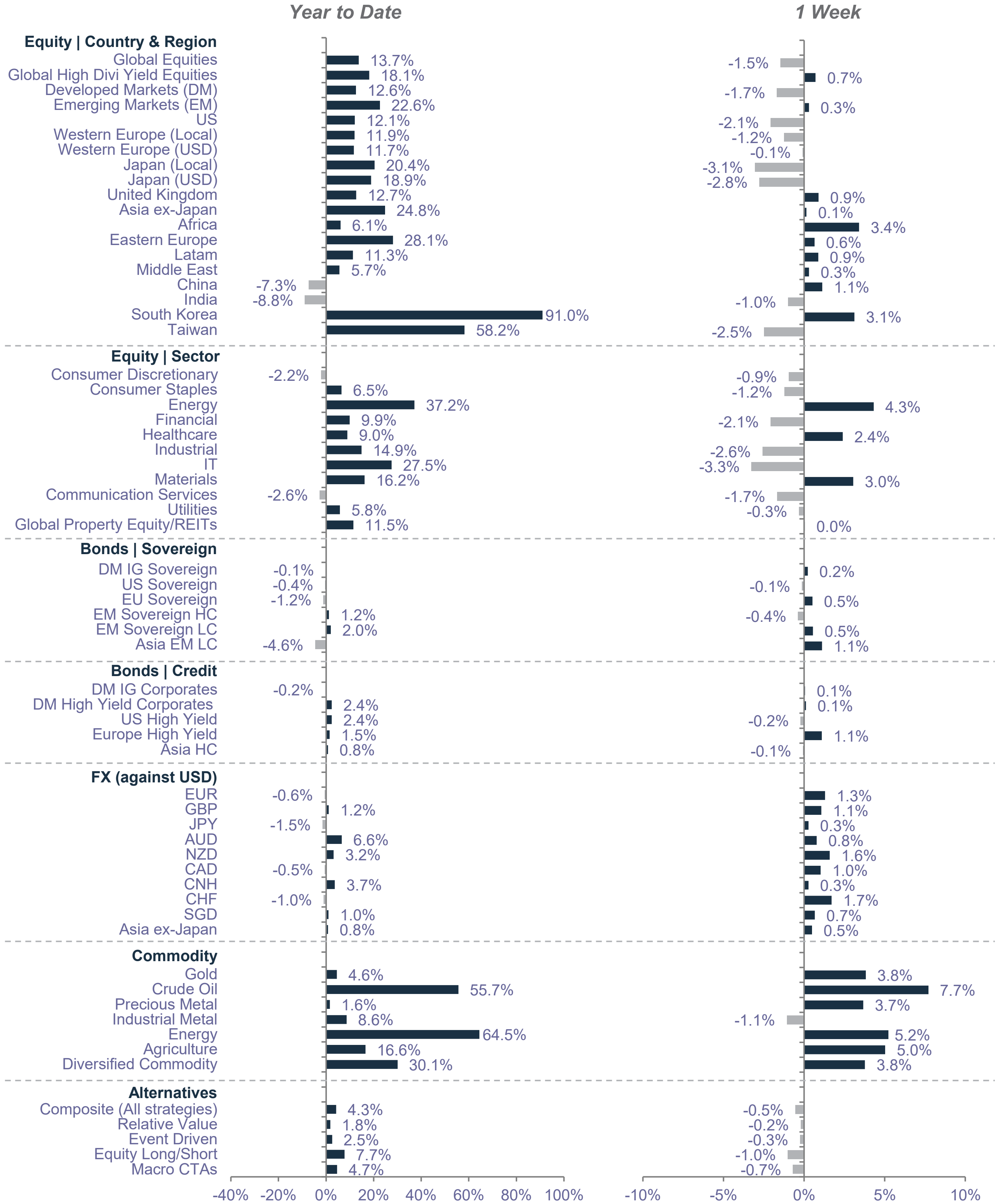
GBP/USD is approaching overbought territory; we expect a near-term moderate technical correction

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 20 August 2026; 1-week period: 13 August 2026 to 20 August 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	◆

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	USD	Chicago Fed Nat Activity Index	Jul	–	-0.02
TUE	EUR	Germany IFO Business Climate	Aug	–	86.6
	EUR	Germany IFO Current Assessment	Aug	–	86.5
	EUR	Germany IFO Expectations	Aug	–	86.7
	USD	Conf. Board Consumer Confidence	Aug	90.2	90.8
WED	USD	Personal Income	Jul	0.2%	0.2%
	USD	PCE Price Index y/y	Jul	3.6%	3.7%
	USD	Core PCE Price Index y/y	Jul	3.3%	3.3%
	USD	Durable Goods Orders	Jul P	0.5%	0.5%
	USD	GDP Annualized QoQ	2Q S	1.5%	1.5%
THU	USD	Jackson Hole Economic Policy Symposium	27-29 Aug	–	–
	CNH	Industrial Profits y/y	Jul	–	15.1%
	EUR	GfK Consumer Confidence	Sep	–	-29.6
FRI/SAT	EUR	Economic Confidence	Aug	–	96.9
	EUR	Industrial Confidence	Aug	–	-6.1
	EUR	Services Confidence	Aug	–	4.7

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,867

Technical indicators for key markets as of 20 Aug close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,641	7,364	7,867	19.6	1.2
STOXX 50	6,422	6,220	6,600	15.2	3.1
FTSE 100	10,748	10,491	10,997	12.9	4.0
TOPIX	4,060	3,887	4,227	16.2	2.3
Shanghai Comp	3,904	3,767	4,017	12.8	3.1
Hang Seng	25,698	24,938	26,323	10.7	3.4
Nifty 50	24,232	23,634	24,802	18.2	1.8
MSCI Asia ex-Japan	1,127	1,041	1,180	10.0	2.4
MSCI EM	1,700	1,580	1,772	9.8	2.8
Crude oil (WTI)	87.8	76.9	96.1	na	na
Gold	4,517	4,161	4,706	na	na
UST 10Y Yield	4.70	4.61	4.77	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 20 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.77
Global Equities	●	↑	1.61
Gold	●	↑	2.17
Equity			
MSCI US	●	↑	1.65
MSCI Europe	◐	↓	1.42
MSCI AC AXJ	●	↑	1.96
Fixed Income			
DM Corp Bond	●	↑	2.04
DM High Yield	◐	→	1.49
EM USD	●	→	1.67
EM Local	◐	↓	1.41
Asia USD	●	→	1.81
Currencies			
EUR/USD	●	↑	1.73

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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Market views on-the-go

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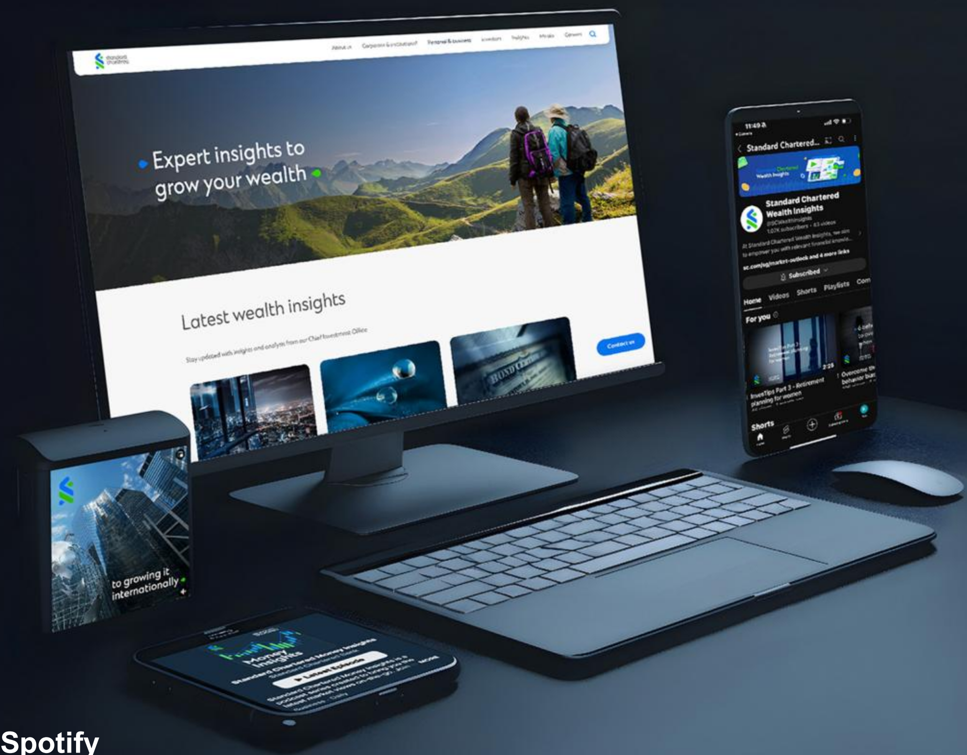

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standard chartered

WS Global CIO Office
14 August 2026

Weekly Market View

Geopolitical stalemate, cooling jobs and inflation

→ The Middle East conflict appears to have entered a prolonged stalemate, with both sides hardening their position

→ Recent US data showed continued cooling inflation and a jobs market losing momentum, providing room for the Fed to remain on hold

→ The ECB may need to hike interest rates on the back of still-high natural gas prices. The BoJ is likely to hike one more time to stave off pressure on the yen and fight inflation

→ Equities remain well supported by still-strong earnings growth. The rally appears to be broadening. We recently initiated new sector ideas to further diversify our exposure

What is the investment case for US High Yield?

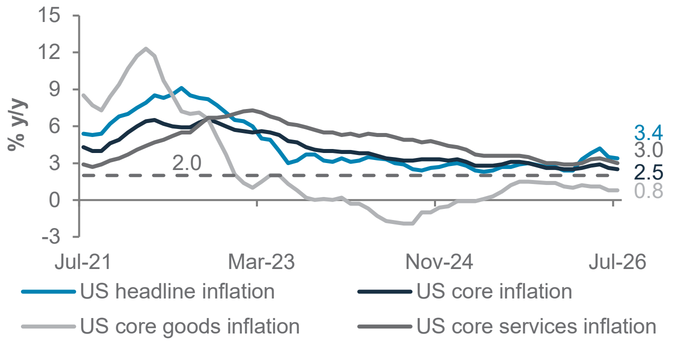
What is the outlook for China tech equities?

Will gold still be highly correlated to the Australian dollar?

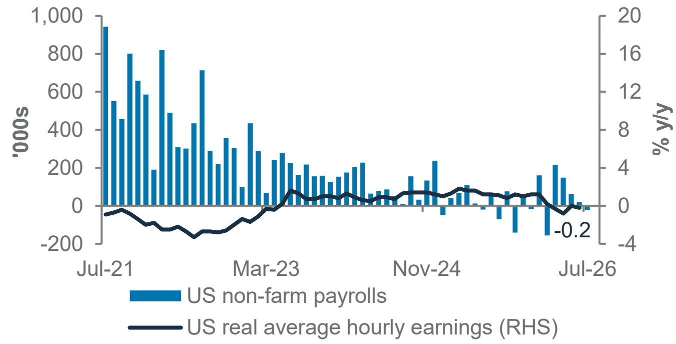
Charts of the week: Geopolitical stalemate, cooling jobs and inflation

US inflation continues to cool; July jobs report unexpectedly shows a contraction

US headline, core, core goods and core services inflation



US non-farm payrolls, real average hourly earnings growth



Source: Bloomberg, Standard Chartered

Editorial

Geopolitical stalemate, cooling jobs and inflation

Middle East conflict reaches a stalemate. The Middle East conflict appears to have entered a prolonged stalemate, with neither side showing a willingness to soften its position. Iran continues to insist on retaining a role in managing shipping traffic in the Strait of Hormuz, while President Trump has asserted that the United States has "total control" over the waterway and emphasised the effectiveness of the US naval blockade. Pakistan's foreign ministry has also indicated that the broader peace process has stalled.

While this impasse keeps geopolitical risk premium elevated, particularly for energy markets, recent action from both sides seem to suggest significant warfare fatigue. While energy prices will remain volatile, oil prices returning to March/April levels seem unlikely, which should help inflation. On the other hand, European natural gas prices have remained stuck around the highs we saw during the opening months of the conflict, which could have implications for monetary policy in the Euro area.

US labour market and inflation continue to cool. July's US inflation and employment data point to a further moderation in aggregate activity (except AI capex, which shows no signs of slowdown). Headline CPI inflation slowed to 3.4% year over year, while core inflation declined to 2.5%, its lowest level since 2021. At the same time, non-farm payrolls unexpectedly contracted by 23,000, and employment gains for May and June were revised lower as well. Together, these figures suggest that the stronger momentum in job growth seen during the spring has faded.

The combination of softer inflation and weaker hiring gives the Federal Reserve greater flexibility to remain patient. Policymakers will still feel some residual pressure to hike as inflation has been above target for several years now, but the direction of travel suggests such pressures are easing. Our base case, therefore, remains that the Fed will keep rates unchanged through year-end. This backdrop should limit upward pressure on US government bond yields at the short-to-intermediate end of the curve, although the uncertain US fiscal outlook could keep long end yields elevated, as epitomised by recent long bond auction results this week.

ECB and BoJ remain under pressure to tighten. The European Central Bank faces a more difficult trade-off. European natural gas prices remain close to the highs in March, increasing the risk that energy costs feed into headline inflation and inflation expectations. As an inflation-targeting-focused central bank, the ECB may feel compelled to tighten policy once more, even as regional growth remains fragile. We expect one more interest rate hike from the ECB before year-end.

The Bank of Japan also remains under pressure. Negative real yields and the still-wide interest-rate differential between Japan and the United States continue to weigh on the yen, despite earlier coordinated US-Japan intervention. Currency weakness could raise imported inflation and undermine the durability of intervention unless it is supported by quicker monetary policy normalisation. We, therefore, also expect the BoJ to deliver one additional rate increase before year-end.

Earnings continue to support US equity outperformance. US equities remain supported by a favourable combination of moderating bond yields and resilient corporate earnings. Softer economic data have reduced pressure on yields, while earnings results continue to demonstrate that corporate profitability remains healthy. This has allowed equities to generate positive returns, despite persistent geopolitical uncertainty.

Importantly, market leadership appears to be broadening beyond the largest tech companies. We have recently added ideas that improve portfolio diversification while retaining exposure to durable structural and cyclical themes. These include Global Power & Electrification, supported by rising electricity demand, grid investment and infrastructure modernisation, and US Financials, which should continue to benefit from strong capital markets activity.

— **Jonathan Liang, CFA**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

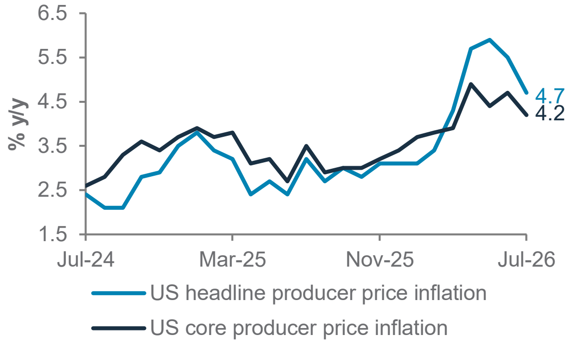
(+) factors: Slowing US inflation, positive Euro area investor confidence

(-) factors: RBA hawkish tone, escalating geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls fell unexpectedly by 23,000 in July, reducing Fed rate hike expectations • US headline consumer and producer price inflation fell more than expected in July • US NFIB small business optimism index beat estimates at 99.8 in July • Euro area Sentix Investor Confidence rose to 0.9 • China exports growth came in above estimates at 23.9% y/y in July	• China consumer and producer price index rose by 0.5% y/y and 3.5% y/y in July, below estimates
	Our assessment: Positive – Slowing US inflation and job market to keep Fed on hold; strong China export growth	
Policy developments	• China's central bank signalled continued loose monetary policy settings and will roll out measures as needed	• RBA kept rate unchanged as expected, but adopted a surprisingly hawkish tone • Fed's Hammack said a series of rate hikes may be needed to bring US inflation back to 2%
	Our assessment: Neutral – Potential China central bank accommodative policy vs. RBA on hold	
Other developments		• President Trump countered Iran's demands for war reparations by issuing his own sweeping financial demands • US and Houthis report two separate attacks on vessels across vital Middle Eastern waterways
	Our assessment: Negative – Escalating geopolitical tensions	

US headline and core producer price inflation fell to 4.7% y/y and 4.2% y/y in July, reinforcing signs of easing price pressures

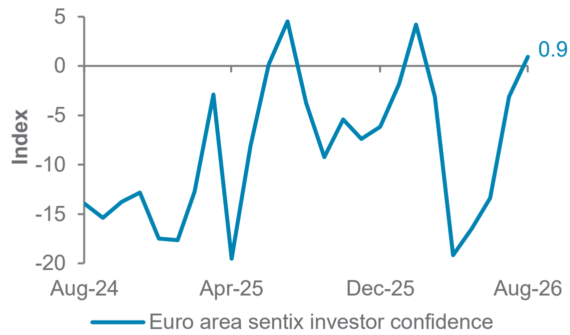
US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

Euro area Sentix Investor Confidence rose into positive territory for the first time since February

Euro area Sentix investor confidence index



Source: Bloomberg, Standard Chartered

China's consumer and producer price inflation eased more than expected in July, reflecting persistent domestic demand weakness

China consumer and producer price inflation

Source: Bloomberg, Standard Chartered

Top client questions

How has your global power & electrification Opportunistic idea performed? What are the key takeaways from Q2 earnings?

Our view: We remain constructive on the sector. Our global power & electrification Opportunistic idea has returned 7.8% since inception, outperforming the MSCI ACWI Index by 291bps in USD terms through 13 August 2026. Q2 results reinforced our thesis that surging AI and data centre power demand is lifting orders across power generation, grids, power management and energy storage, extending earnings visibility.

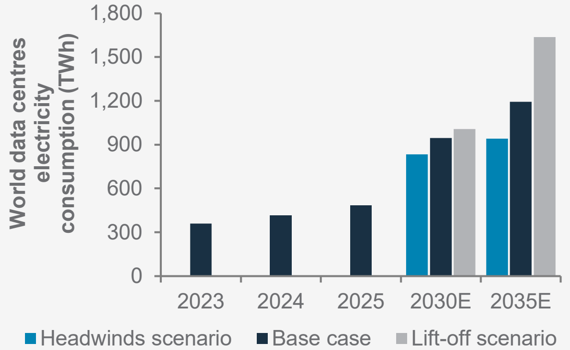
Rationale: Power availability is a growing bottleneck. Turbine delivery slots stretch years ahead, while grid suppliers benefit from **rising demand** for transformers, substations and transmission. A major US power equipment supplier's orders and backlog grew 32% and 8% q/q, respectively. A European peer's backlog rose 5% q/q.

Within data centres, demand for power distribution, cooling and back-up power shows **spending broadening beyond servers**. **Rising rack density** should lift power and cooling needs per facility. **Energy storage** is a smaller, but growing, contributor. A leading battery maker returned to profitability after seven loss-making quarters, helped by a shift from **EV batteries** to energy storage and AI back-up power. As deployment scales, energy storage should help balance **renewable output** and strengthen **grid resilience**.

— **Robin Xie, CFA**, *Senior Investment Strategist*

Surging AI and data centre power demand likely to drive a multi-year power grid and electrification investment cycle

Global data centre electricity consumption under various scenarios



Source: International Energy Agency, Standard Chartered

What are the implications of rising enthusiasm around China technology IPOs for China tech equities?

Our view: We remain Overweight China technology equities, with the Hang Seng Technology Index (HSTECH) among our Opportunistic ideas.

Rationale: China tech equities remain supported by China's policies promoting **innovation**, **supply-chain localisation** and **tech self-reliance**. Strong demand for recent tech IPOs signals a **structural re-rating around AI**. New listings are likely to broaden participation and direct capital towards semiconductors, robotics and AI.

HSTECH remains one of our Opportunistic ideas, despite a **13%** year-to-date (YTD) decline. While rising AI investment is weighing on sentiment towards some internet platforms, **AI should fuel monetisation** across existing and emerging businesses. **Strong cash generation** from core operations can help fund these initiatives. The June inclusion of pure-play AI-model companies in HSTECH marks a structural change that should improve the index's sensitivity to the AI theme. The planned expansion of HSTECH from 30 to 50 constituents should also make the index **more forward-looking** and help capture high-growth tech companies' early gains. Along with discounted valuations, earnings and IPO momentum, these changes are expected to support **a recovery in H2**.

— **Cindy Lam, CFA,** *Senior Investment Strategist*

Hang Seng Technology currently trades at discounted valuations, offering an attractive entry point for investors seeking exposure to China's technology recovery and long-term AI growth

HSTECH forward price-to-earnings (P/E) ratio

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Do July's US consumer inflation and non-farm payrolls data reinforce the view that the Fed will stay on hold this year?

Our view: Yes, we believe the Fed will keep its Fed Funds target rate band unchanged at 3.50% - 3.75% for the rest of the year.

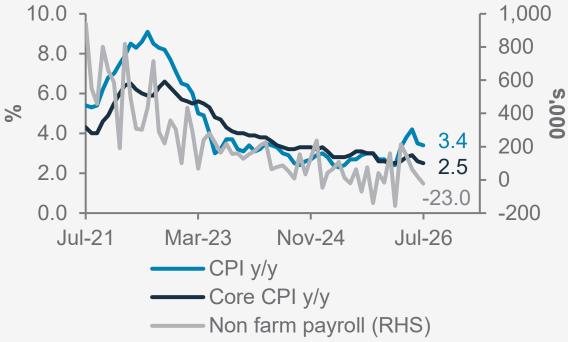
Rationale: We believe **peak Fed hawkishness is likely behind us** after a weaker-than-expected US non-farm payrolls print and an in-line, softening US consumer inflation report. After **headline inflation** fell by 0.4% m/m in June, it showed a mild increase of 0.1% m/m in July, in line with market expectations. **Core inflation** is trending towards the Fed's 2% target and currently stands at 2.5% y/y.

Our view is that the rise in inflation in Q2 was likely a temporary surge, driven mainly by oil prices, rather than a broader-based inflation risk. Together with a surprise **23,000 reduction in non-farm payrolls** in July and downward revisions to previous data releases, we believe the Fed is now in an even **better position to pause rate moves**. The market-implied probability of a rate hike at the Fed's September meeting fell below 50% after the jobs report and declined further to below 40% after the consumer inflation print. The key risks to our call are the Middle East conflict and oil prices. We believe **the US has an incentive to avoid a larger oil-price shock**, given the potential risks to US growth and the November mid-term elections.

— **Ray Heung**, *Senior Investment Strategist*

Peak US inflation is likely behind us; US non-farm payrolls surprised to the downside

US non-farm payrolls and US headline and core consumer inflation



Source: Bloomberg, Standard Chartered

US high-yield (HY) spreads remain near historically tight levels. What would constitute a fair value for HY spreads today? Beyond elevated absolute yields, what is the investment case for HY bonds?

Our view: We remain opportunistically bullish on US HY. Returns will likely be driven more by income than by further credit spread compression. A below-trend default rate and a maturity wall pushed out to 2028-29 are supportive factors.

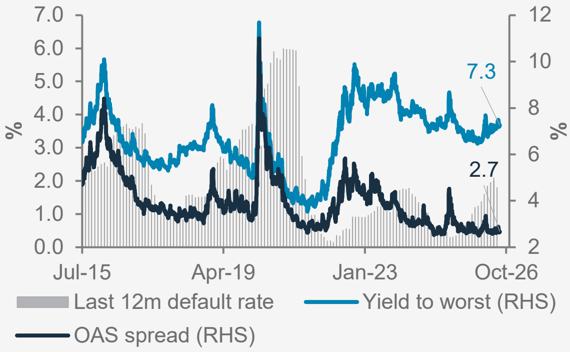
Rationale: While US HY credit spreads (at around 266bps) are near their tightest levels and in the 4th percentile over the past 15 years, **the asset class does not look expensive from a yield perspective**. US HY currently yields around **7.26%,** placing it in the 69th percentile over the past 15 years.

In addition, the **US HY default rate is around 2%**, below the long-term average of 3-3.5%, likely supported by the higher share of BB-rated credit in the index (which is close to 60%) and by a **resilient economy**. **US HY credit metrics are stable** – with reported leverage of 3.5x and interest coverage of 2.0x – and are **projected to improve** into 2027. The **maturity wall** has also been pushed out to 2028-29, as significant refinancing was completed in 2025 and early 2026, taking advantage of favourable market conditions. There is also a **lack of large issuance from hyperscalers** in the US HY space that could otherwise weaken market technicals.

— **Ray Heung**, *Senior Investment Strategist*

US HY is supported by a still-attractive yield and a below-trend default rate

Bloomberg US Corporate HY Index yield to worst and option-adjusted spread. US corporate default rate over the last 12 months



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is your outlook for the Australian dollar (AUD) following the latest RBA decision? How do you view the currency's short- and long-term correlation with gold?

Our view: The RBA's decision to hold its official cash rate at 4.35% was accompanied by a hawkish policy message, reinforcing the view that rates are likely to remain restrictive for longer. We remain constructive on AUD/USD, with a three-month forecast of 0.74 and a 12-month forecast of 0.75. The recent strengthening in the gold (XAU)-AUD relationship provides an additional near-term tailwind, although the longer-term correlation suggests gold should still be treated as a supporting indicator rather than the primary AUD driver.

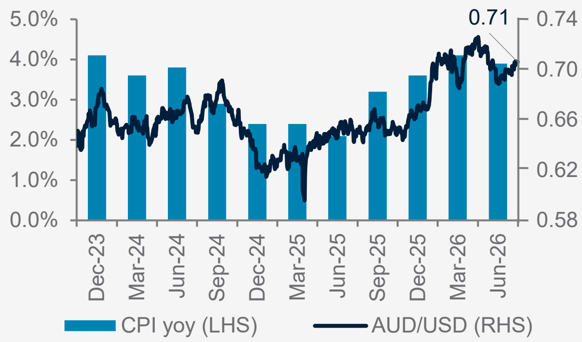
Rationale: Bloomberg data shows that the XAU/USD-AUD/USD correlation stands at **+0.82 over three months**, materially above the **+0.59 three-year correlation**. The 0.23-point gap shows that **gold and the AUD have moved much more closely together recently,** as both have benefited from similar macro tailwinds. However, the more moderate long-term relationship suggests **gold remains a secondary indicator for the AUD** rather than a primary driver.

The RBA's hawkish pause is important for our AUD view. With inflation remaining elevated, the RBA sees **upside risks to inflation**. Governor Bullock reiterated that **rates could rise further** if required. A **softer USD**, **improving China growth momentum** and **supportive commodity conditions** provide additional support for our constructive AUD view and 0.74/0.75 forecasts.

— **Ray Heung,** *Senior Investment Strategist*

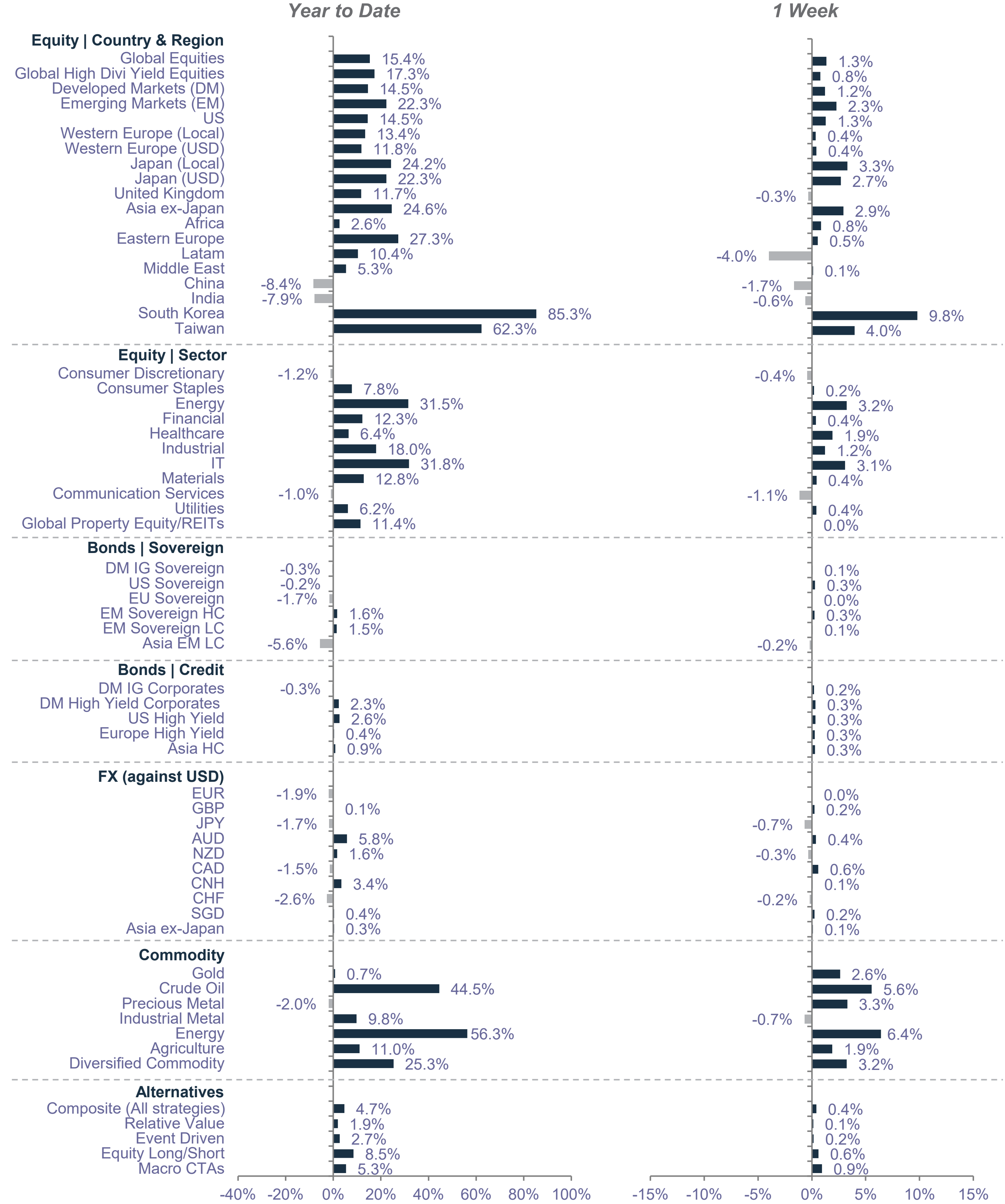
RBA inflation concerns support the AUD

AUD/USD vs. Australia's consumer inflation



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 13 August 2026; 1-week period: 6 August 2026 to 13 August 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

		Market Event	Period	Expected	Prior
MON	CNH	Retail Sales y/y	Jul	1.5%	1.0%
	CNH	Industrial Production y/y	Jul	4.9%	5.3%
	CNH	Fixed Assets Ex Rural YTD y/y	Jul	-6.2%	-5.7%
	CNH	Property Investment YTD y/y	Jul	-19.0%	-18.0%
	USD	Empire Manufacturing	Aug	10.0	15.6
TUE	EUR	Germany ZEW Survey Expectations	Aug	28.0	26.3
	EUR	Germany ZEW Survey Current Situation	Aug	–	-77.6
	USD	Capacity Utilization	Jul	76.3%	76.1%
WED					
THU	USD	FOMC Meeting Minutes	29-Jul	–	–
	USD	Philadelphia Fed Business Outlook	Aug	25.0	41.4
	USD	Leading Index	Jul	0.1%	-0.2%
FRI/SAT	EUR	S&P Global Eurozone Manufacturing PMI	Aug P	51.4	51.9
	EUR	S&P Global Eurozone Services PMI	Aug P	51.4	51.7
	USD	S&P Global US Manufacturing PMI	Aug P	53.5	53.9
	USD	S&P Global US Services PMI	Aug P	53.8	54.6
	EUR	Consumer Confidence	Aug P	-16.6	-15.9

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,972

Technical indicators for key markets as of 13 Aug close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,799	7,470	7,972	20.1	1.1
STOXX 50	6,545	6,301	6,684	15.6	3.1
FTSE 100	10,773	10,467	11,034	12.9	3.7
TOPIX	4,176	3,962	4,288	16.9	2.2
Shanghai Comp	3,927	3,785	4,025	13.0	3.1
Hang Seng	25,397	24,137	26,422	10.7	3.4
Nifty 50	24,396	23,743	24,911	18.3	1.8
MSCI Asia ex-Japan	1,126	1,045	1,168	10.3	2.4
MSCI EM	1,695	1,584	1,756	10.0	2.7
Crude oil (WTI)	81.3	72.5	91.8	na	na
Gold	4,350	4,057	4,547	na	na
UST 10Y Yield	4.64	4.52	4.76	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 13 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.78
Global Equities	●	↑	1.58
Gold	●	↑	1.59
Equity			
MSCI US	●	↑	1.55
MSCI Europe	◐	→	1.43
MSCI AC AXJ	●	↑	2.14
Fixed Income			
DM Corp Bond	●	↑	1.93
DM High Yield	●	↑	1.52
EM USD	●	↑	1.77
EM Local	●	→	1.60
Asia USD	●	↑	1.97
Currencies			
EUR/USD	●	→	1.52

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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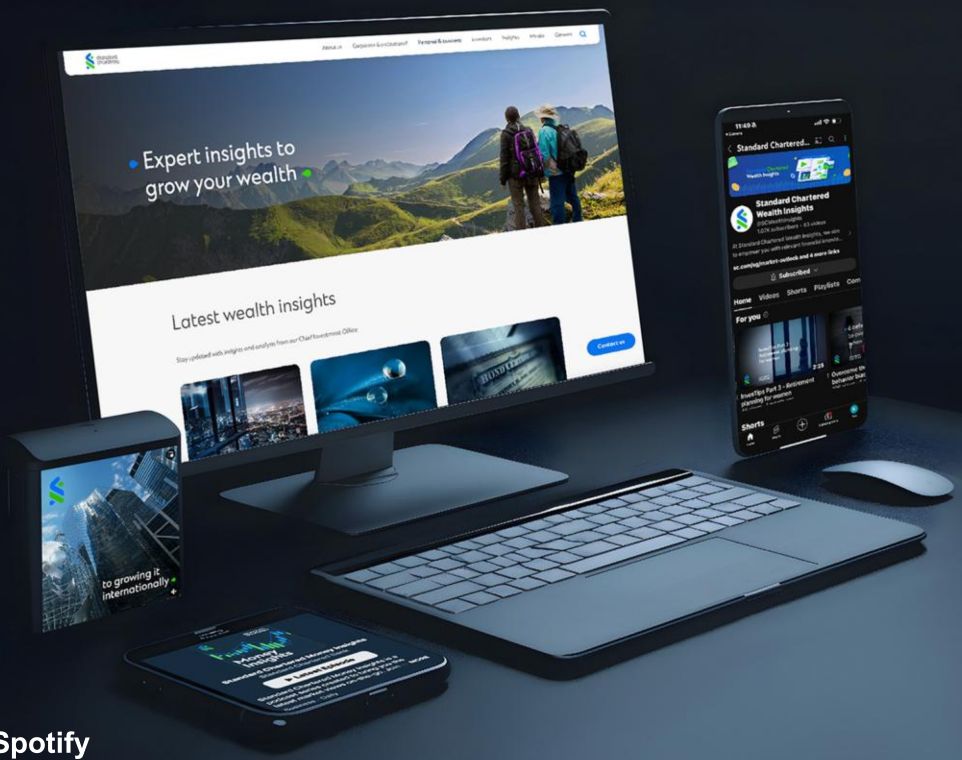

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